Chapter summary

Familiarising yourself with **items in green** is important for effective revision.
Paying attention to items in the boxes is helpful for understanding the concept(s).

2.1 The Three Basic Economic Problems

Basic economic problem	Meaning
What to produce	Making choices about the kinds and quantities of goods to produce
How to produce	Making choices about the methods of production
For whom to produce	Making choices about how to distribute goods to people in society

2.2 How Do Different Societies Tackle the Basic Economic Problems?

- The three basic economic problems can be tackled by:
  - customs and traditions
  - government decisions
  - the market mechanism
- Most societies are mixed economies in reality.

By customs and traditions

- In a **traditional economy**, the three basic economic problems are often tackled by customs and traditions.

By government decisions

- In a **command/planned economy**:
  - Most resources are owned by the state.
  - Allocation of resources is mostly guided by government planning.
  - Economic decisions are mostly made by the government.

The problem of scarcity still exists in a command/ planned economy.

By market mechanism

- In a **market economy**:
  - Most resources are owned by private individuals.
  - Allocation of resources is mostly guided by market prices.
  - Economic decisions are mostly made by private individuals.

In a market economy, not all resources are privately owned and allocated by the market mechanism.

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2.3 Relationship between Specialisation, Exchange and Private Property Rights

Specialisation

- **Specialisation** occurs when workers specialise in producing a good or a stage of production of a good.
- Total output of an economy will be higher than that without specialisation.

Exchange

- People can exchange the goods they produce for the goods they want in the market.
  → People can consume more goods.
  → People enjoy a higher standard of living.
- Exchange is a condition for specialisation.

Private property rights

- Private property rights are the foundation for exchange to take place in a market economy.
- Meaning of **private property rights**
  - A person has private property rights over a good if he or she **possesses the ①exclusive right to use, ②exclusive right to receive income and ③right to transfer**.

Right	Meaning
Exclusive right to use	The owner has **the right to exclude others from using his or her property**.
Exclusive right to receive income	The owner has **the exclusive right to receive income generated from his or her property**.
Right to transfer	The owner has **the right to transfer his or her property to other people**.

- Importance of private property rights in a market economy
  - Well-defined and well-protected private property rights are the prerequisite for the functioning of price mechanism.
  - The price mechanism allocates the economic goods to the highest-valued users.
  - If private property rights are not well defined and well protected, people will then use non-price methods to allocate resources.

Private property rights not only exist in a market economy but also in traditional economies and command economies.

A person who has the exclusive right to use a good may not have the exclusive right to receive income from it and/or the right to transfer it.

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